

Sales Commission Plan

Owning area: Sales

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Document owner: Director of Sales Operations

Purpose and Overview

This plan defines how IronStore sales employees earn variable commission for profitable, compliant revenue generation. It applies to sales activity across IronStore's European e-commerce operations, including consumer electronics, home essentials, clothing, outdoor equipment, beauty products, and other approved categories.

The plan is designed to reward sustainable sales rather than order volume alone. Commission is based on eligible net revenue, contribution margin, customer quality, and achievement against approved targets. Payments are subject to order validation, returns processing, fraud controls, and payroll requirements.

The plan is reviewed annually by Sales Operations, Finance, People, and Legal. The Director of Sales must approve any exception before it is communicated to an employee.

Scope

This plan applies to:

- Account Executives, Sales Specialists, and approved Marketplace Sales Managers.
- Employees assigned an individual or team sales target in Workday.
- Permanent employees and fixed-term employees whose contracts expressly include variable pay.
- Sales generated in approved European markets and recorded in the assigned Salesforce opportunity or channel account.

This plan does not apply to:

- Customer Service, warehouse, procurement, or affiliate employees unless separately covered by a written incentive plan.
- Contractors, agency workers, interns, or employees on plans that expressly replace this plan.
- Orders generated solely through paid media, automated campaigns, or customer self-service without documented sales ownership.
- Revenue from prohibited products, internal purchases, test orders, fraudulent transactions, or policy violations.

Policy Statement

Commission is earned only when an eligible order meets all validation requirements. A booked order is not automatically commissionable. Revenue must be attributable to the employee, accepted by the customer, and not excluded under this plan.

IronStore may correct, defer, reduce, or recover commission where an order is returned, cancelled, refunded, unpaid, incorrectly attributed, or found to breach commercial or compliance rules. Changes are applied in the next practical payroll cycle and are documented in the Commission Management Portal.

No employee may offer unapproved discounts, alter customer ownership, split orders, or delay cancellations to influence commission. Suspected manipulation is handled under the Sales Conduct Standard and may result in disciplinary action.

Commission Structure

Target and On-Target Earnings

Each eligible employee receives the following information in Workday before the start of the plan year:

- Annual sales target.
- Target commission amount.
- Commission period and currency.
- Individual or team weighting.
- Applicable product-category modifiers.
- Threshold, accelerator, and maximum rules.

The standard plan year runs from 1 January to 31 December. Employees joining or leaving during the year receive a prorated target based on active employment days, subject to their employment contract and local law.

Unless otherwise stated:

- 70% of commission is based on individual eligible net revenue.
- 30% is based on the assigned team target.
- Employees with no individual portfolio use a 100% team-based measure.
- Targets are adjusted only for approved transfers, extended leave, territory changes, or material business restructuring.

Eligible Net Revenue

Eligible net revenue is calculated as:

Customer invoice value excluding VAT, delivery charges, gift cards, refunds, cancellations, credits, and non-commissionable fees.

Revenue is credited to the employee who is recorded as the primary owner in Salesforce at the time the order is accepted in the Order Management System (OMS). Split credit requires approval from the Sales Manager and Sales Operations before month-end close.

The following are excluded:

- Orders below the approved minimum margin.
- Employee, test, or related-party purchases.
- Orders later identified as fraudulent or sanctioned-party transactions.
- Free replacements, warranty fulfilment, and goodwill orders.
- Revenue generated by an unapproved reseller or marketplace channel.
- Orders where the employee did not perform a documented sales activity.

Margin and Category Modifiers

Commission is calculated using the standard category rate table maintained by Finance. The current default rates are:

- **Standard categories:** 1.0% of eligible net revenue.
- **Strategic or high-margin categories:** 1.25%.
- **Low-margin or clearance categories:** 0.50%.
- **Approved new-market launches:** 1.50% for the first 90 days, subject to Finance approval.

A category modifier applies based on the product classification in the Product Information Management system (PIM), not the description used in a sales proposal. Finance may update category rates quarterly with at least 30 days' notice.

Orders with contribution margin below 8% are non-commissionable unless the Commercial Director approves the transaction in writing before order acceptance. Margin exceptions must include the customer, SKU group, expected revenue, and commercial rationale.

Calculation and Achievement

Monthly Calculation

Sales Operations calculates preliminary commission after monthly close using data from:

- Salesforce for ownership and opportunity history.
- OMS for order status and fulfilment.
- Snowflake Finance Mart for revenue and margin.
- NetSuite for refunds, credits, and payment status.

The monthly calculation is normally completed by the eighth working day of the following month. Employees receive a statement in the Commission Management Portal showing:

- Target and achievement percentage.
- Eligible revenue by category.
- Applied rates and modifiers.

- Returns, credits, or other deductions.
- Preliminary commission and any prior-period adjustments.

Quota Attainment

The standard attainment curve is:

- Below 70% of target: no commission on the affected measure.
- 70% to 99.99%: commission paid at the applicable base rate.
- 100% to 119.99%: 1.25x accelerator on revenue above 100%.
- 120% to 149.99%: 1.50x accelerator on revenue above 120%.
- 150% and above: 2.00x accelerator on revenue above 150%.

Accelerators apply only after the relevant threshold is reached and do not retroactively increase commission on earlier revenue. Total annual commission is capped at 200% of target commission unless the Chief Commercial Officer approves an exception.

Team commission is calculated against the approved team target. Team attainment is based on aggregated eligible revenue after all returns, exclusions, and margin adjustments.

New Starters, Transfers, and Leave

- New starters begin earning from their approved start date and system assignment date.
- Employees transferring teams retain credit for accepted orders owned before the transfer.
- Open opportunities transfer only when approved in Salesforce by both managers.
- Extended statutory leave is handled according to local law and the employee's contract.
- Temporary cover does not automatically receive commission credit; a written split arrangement is required.

Order Validation, Returns, and Clawbacks

Commission is normally paid after the order has passed the applicable validation period. For recurring or high-value orders, Finance may hold payment until customer payment is received.

The following adjustments apply:

- Cancelled orders are removed in the month of cancellation.
- Full refunds reverse 100% of the related commission.
- Partial refunds reverse commission proportionately.
- Returns are adjusted after the standard 30-day return window, or later if the product category has a longer statutory or contractual period.
- Chargebacks and confirmed fraud are fully reversed.
- Bad debt may be reversed after Finance classifies the invoice as impaired.

If a negative adjustment exceeds the current month's commission, the balance is carried forward for up to six months. IronStore will not make deductions from salary except where legally permitted and properly authorised. Any recovery must comply with local employment and payroll rules.

Payment and Disputes

Approved commission is paid through monthly payroll, normally in the second payroll following the relevant month. Payment is made in the employee's payroll currency and is subject to tax, social security, and other statutory deductions.

Employees must review their statement within 10 calendar days. Disputes must be submitted through the Commission Management Portal using the "Commission Review" form and include:

- Order or opportunity number.
- Reason for disagreement.
- Supporting customer or system evidence.
- Requested correction.

Sales Operations acknowledges submissions within three working days and normally completes the review within 10 working days. Disputes involving ownership, margin exceptions, or policy interpretation are escalated to the Director of Sales Operations and Finance Business Partner. Unresolved disputes may be referred to People Operations.

Roles and Responsibilities

- **Sales employee:** Maintain accurate opportunities, follow pricing rules, and review monthly statements.
- **Sales Manager:** Set targets, approve ownership changes, validate exceptions, and monitor conduct.
- **Sales Operations:** Maintain the plan, calculate commission, administer disputes, and publish statements.
- **Finance:** Own rate tables, validate revenue and margin, process adjustments, and approve exceptions.
- **People Operations:** Confirm employment status, contract terms, payroll treatment, and local-law requirements.
- **Legal and Compliance:** Advise on regulatory, anti-bribery, competition, and customer-protection matters.
- **Director of Sales:** Approve material policy exceptions and annual plan changes.
- **Chief Commercial Officer:** Approve commission caps or exceptions above delegated authority.

Related Documents and References

- **SAL-STD-002:** Sales Conduct and Customer Representation Standard.
- **SAL-PRC-006:** Pricing, Discount, and Margin Approval Procedure.
- **SAL-OPS-011:** Salesforce Opportunity Ownership Procedure.
- **FIN-CTL-009:** Revenue Recognition and Refund Controls.
- **PEO-CMP-003:** Variable Pay Terms by Country.
- **COM-SEC-005:** Fraud, Chargeback, and Customer Verification Standard.

- Commission Management Portal: **Sales Operations** → **Variable Pay**.
- Annual category rate table: **Finance Hub** → **Commercial Finance** → **Commission Rates**.

Revision History

- **August 2026 – Version 4.0:** Rebased category rates, clarified return timing, introduced Commission Management Portal workflow, and updated accelerator thresholds.
- **January 2025 – Version 3.2:** Added team-target weighting and formalised ownership-transfer approvals.
- **July 2023 – Version 3.0:** Consolidated country sales commission rules into a single European plan and introduced margin eligibility requirements.